

To: President of the European Commission; Madam Ursula Von Der Leyen
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Strengthening EU Cooperation with Africa on Critical Raw Materials

Executive Summary

The EU should take concrete steps to deepen cooperation with African countries on critical raw materials (CRMs) in order to secure more resilient supply chains, reduce dependence on China, and strengthen its long-term industrial competitiveness.

To do so effectively, the EU must move beyond a narrow extraction-focused approach and support more midstream and downstream value addition in Africa. Cooperation with like-minded partners such as Japan and South Korea would help reduce financial risk, improve technology transfer, and strengthen African industrial capacity in ways that ultimately benefit European supply-chain security.

Context

Critical raw materials: CRMs are not only a trade, but a strategic-security issue. Batteries, wind, electric vehicles, defence production, and clean-tech manufacturing all depend on secure access to processed minerals. The African continent holds around one-third of global mineral resources and offers one of the clearest routes for diversifying away from China, therefore meriting a central position in the EU's long-term strategy.

African ambitions: African governments increasingly want their CRM resources to support industrialisation, job creation, infrastructure, and domestic value addition rather than export-led extraction alone. The African Green Minerals Strategy launched in December 2024 explicitly links minerals to local beneficiation, green manufacturing, and economic transformation.

Chinese presence in Africa: China has adapted more efficiently to Africa's new priorities. Its model increasingly combines extraction, processing, infrastructure, and manufacturing support. Chinese firms are widely seen on the continent as more willing to finance refineries, smelters, and downstream facilities such as in Morocco, Namibia, Zambia and Zimbabwe.

Current EU position: The EU is not absent from Africa's CRM space. It has signed strategic CRM partnerships with the DRC, Namibia, Rwanda, and Zambia, and a Clean Trade and Investment Partnership with South Africa. Europe remains Africa's largest cumulative foreign investor. However, multiple structural problems still prevent the EU from becoming the partner African governments are seeking.

Issues

1. **The EU is not offering enough shared value addition:** African governments want industrial movement toward manufacturing and industrial capability but the EU still frames cooperation more narrowly and largely keeps midstream and downstream gains in Europe. Between 2016 and 2022, 73% of announced greenfield FDI projects in sub-Saharan Africa went to extraction, while only 26% went to processing and manufacturing.
2. **EU domestic processing policy undermines its message:** The EU's 40% domestic processing target under the Critical Raw Materials Act signals that Europe still intends to keep high-value processing at home.
3. **EU climate and finance rules discourage participation:** Mining remains outside the EU sustainable finance taxonomy. That suppresses financing for capital-intensive mining and processing projects and makes European firms more reluctant to enter African markets. CBAM creates a second barrier as African governments view it as a penalty on local processing.

Recommendations

1. **Share more midstream and downstream manufacturing with Africa:** The EU should move beyond extraction in Africa to begin better supporting refining, component manufacturing, and adjacent industrial capacity in African partner countries. This should be framed within the EU as strategic interest, not a concession. A 10,000-tonne battery precursor facility in the DRC would cost about 40% less than in Poland because of Europe's higher energy, labour, and land costs.
2. **Build a trilateral EU-Japan-South Korea offer:** Japan and South Korea have already committed to increasing midstream and downstream manufacturing of CRM in Africa. The EU should coordinate financing, technology, infrastructure, and implementation with these like-minded Indo-Pacific partners. This will allow for a sharing of the financial risk and burden in new projects alongside allowing technology and skills transfers from these partners to benefit EU supply chains.
3. **Redefine domestic processing and local-content rules:** The EU should expand the interpretation of "domestic" or "local" processing to include processing undertaken in Africa by EU firms or under EU-backed strategic projects. These can be counted toward EU resilience and industrial targets where they are contractually tied to European buyers or supply-chain security objectives.
4. **Include CRM mining in the EU sustainable finance taxonomy:** Adding CRM mining, subject to safeguards, to the EU sustainable finance taxonomy will unlock public and private finance for strategic projects. Responsible mining can be treated as a prerequisite for the energy transition.
5. **Recycle CBAM revenues into African value-addition projects:** The EU's CBAM related revenues can be funneled into a decarbonization fund that is used to invest back into European companies that are working to increase local value addition in Africa. This will recast CBAM from a source of friction into a financing tool for partnership.

Conclusion

It is important that the EU secure CRM supply chains by supporting shared industrialization in Africa. Competing with China in the continent will require financing, downstream processing and manufacturing, and technology transfer. Cooperating with like-minded Indo-Pacific partners and revising relevant EU policy will help foster a long-term strategic partnership with Africa.